



**NATO Support and
Procurement Agency
(NSPA)**

NATO UNCLASSIFIED

OPERATING INSTRUCTION (OI)

ACQUISITION BY QUALIFIED OPTIONS

NSPA OI 2200-01

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AMENDMENT RECORD

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ACQUISITION BY QUALIFIED OPTIONS**1. REFERENCES**

- A. NSPO Functional Directive No. 2200, Acquisition
- B. NSPO Functional Directive No. 2070, Establishment, Organisation and Operation of Support or Procurement Partnerships
- C. NSPO Functional Directive No. 2300, NSPO Financial Rules and Procedure
- D. NSPO Regulation No. 4200, NSPO Procurement Regulations
- E. NATO Standard AAP-20, NATO Programme Management Framework
- F. NSPA OI 4200-01, NSPA Procurement Operating Instruction
- G. NSPA OI 4200-02, Sourcing for NSPA Procurement
- H. NSPA OI 4200-06, Role of the Competition Advocate
- I. NSPA OI 4200-08, Pre-Award Complaints Procedure
- J. NSPA OP OP-P-03, Levels of Delegation

2. PURPOSE

2.1 The Operating Instruction (OI) details and implements the Acquisition by Qualified Options (AQO) framework for complex acquisition programmes undertaken by the NSPA Acquisition Directorate under the NSPO Partnership framework. The OI is subordinate to Reference A and the specific objectives of this framework are to:

2.1.1 implement the fundamental principles of fairness, openness, transparency and non-discrimination that underlie NATO and NSPO procurement;

2.1.2 establish a flexible, adaptable but robust framework for acquisition programmes that involve the development and acquisition of complex and/or innovative capabilities and platforms; and,

2.1.3 give acquiring Partnership Member Nations clear avenues for input and decision at appropriate points in time, hence promoting trust and cooperation between Partnership Member Nations in a complex, high-level and high-stakes acquisition programme.

2.2 An AQO approach promotes competition and innovation by translating the capability needs of the Partnership Member Nations into a stringent set of requirements for industry to meet. It also seeks to give industry meaningful opportunities to propose different innovative approaches, concepts or solutions to meet Partnership Member Nations' requirements. The outcome of an AQO process is for a limited set of unique solutions to be proposed to Partnership Member Nations, who shall be able to choose one or more solutions, based on their relative merits, following a process that provides them with the assurance that all solutions meet Partnership Member Nations' requirements and were the result of fair, transparent and open competition.

3. SCOPE

This OI is available to any complex acquisition programme or project that is part of the Acquisition Directorate, and shall apply to those programmes or projects that initiate an AQO approach. The programme or project shall also be part of a Partnership.

4. DEFINITIONS

4.1 An Acquisition Organisational Element (AOE) is an organisational group or sub-group under the Acquisition Directorate which supports the initiatives of an NSPO Support or Procurement Partnership (herein referred to as "Partnership"). AOE includes the embedded Finance and Procurement function without prejudice to the authority and responsibilities of these functions in addition to their contribution to the AOE. The AOE is responsible for undertaking the evaluation of the AQO offer(s) in accordance with the Source Selection Plan. Following completion of the evaluation process, the QOs are presented by the AOE to the Partnership Committee.

4.2 A Project Group is a subordinate body which has been created by decision of the Partnership Committee. A Project Group is the mechanism by which Partnership Member Nations can execute a Qualified Option. The participants to a Project Group are responsible, vis-à-vis the Partnership, for the costs and liabilities of the projects undertaken in the Project Group, as provided for under the Partnership Agreement (PA).

4.3 A Qualified Option (QO) is a bid evaluated by the AOE as meeting the qualification threshold, established in the approved Source Selection Plan, reached in the course of an AQO evaluation process, declared a successful concept, design or prototype, and made available to Partnership Member Nations through a dedicated Project Group.

4.4 A Qualified Vendor is a vendor whose AQO offer(s) was assessed by the AOE as QO(s).

5. GENERAL PRINCIPLES

5.1 An AQO may be initiated where the AOE is tasked by a Partnership Committee with the acquisition of a complex capability and where it is expected that industry can offer different approaches, concepts and solutions to problems. The objective is to encourage innovative solutions that meet Partnership Member Nations' needs and shall only be applied where a project/programme is in the pre-concept, concept or development phase. It gives the AOE the ability to present Partnership Member Nations with the comparative advantages and disadvantages that could not have been accurately foreseen at the Request for Proposal (RFP) stage and which can satisfy the capability and operational requirements of Partnership Member Nations.

5.2 The Director of Acquisition is responsible for oversight of AQO, without prejudice to the roles and functions of the Chief Procurement Officer as provided in OI 4200-01. The Director of Acquisition may approve deviation from this OI in writing, ensuring that any such deviation does not affect the integrity of the competitive process. Such deviations shall only be granted after consultation with the Chief Procurement Officer and the Competitive Advocate, and receipt of a positive Legal Opinion from the Office of the Legal Advisor. Any deviation shall be registered by the Director of Acquisition.

5.2.1 The Director of Acquisition may authorise deviations only when strictly necessary to achieve the objectives of the AQO process and where such deviation does not compromise the principles of fairness, transparency, equal treatment and competition as set out in paragraph 2.1.1.

5.2.2 The Director of Acquisition may only authorise a deviation on one or more of the following grounds:

5.2.2.1 the acquisition concerns innovative, developmental, and non-standard solutions for which the application of standard procedures would materially hinder effective competition;

5.2.2.2 the technical requirements cannot be sufficiently defined ex ante and require iterative evaluation or refinement.

5.2.3 Deviations for circumstances not listed under paragraph 5.2.2 shall be approved by the General Manager.

5.3 The AOE is responsible for the timely involvement throughout the process of support functions such as Finance, Procurement and the Office of the Legal Advisor. The AOE is also responsible for ensuring that the programme documentation is organised in a transparent and accessible manner for relevant stakeholders.

5.4 This OI shall be interpreted consistently with NSPO Regulation No. 4200. In case of conflict, NSPO Regulation No. 4200 shall prevail. The AOE shall undertake the procurement process in accordance with the Acquisition Strategy and the Source Selection Plan as provided in section 6 below, applying NSPO Regulation No. 4200, their implementing OIs and OP-P-03. Where the nature of the AQO process requires adaption or deviation from specific provisions of the regulatory framework, this shall be done according to a formal procedure, as further detailed below.

6. PROCEDURE

6.1 Initiation, drafting and approval of the Acquisition Strategy

6.1.1 Where an AOE deems that a tasking received from a Partnership Committee would be best executed using an AQO approach, the AOE shall prepare a draft Acquisition Strategy, in consultation with relevant internal NSPA functional stakeholders.

6.1.2 The draft Acquisition Strategy shall provide a high-level description of the process, timelines, decision gates and expected outcomes of an AQO approach, and act as the overarching governance document throughout the rest of the Acquisition. Where AQO incorporates the use of either Competition with Negotiation (as detailed at paragraph 8.1.4 of OI 4200-01) or Competitive Dialogue procedure (as detailed at paragraph 8.1.5 of OI 4200-01), this shall be stated in the Acquisition Strategy.

6.1.3 The AOE shall present the draft Acquisition Strategy to the Director of Acquisition for endorsement. The Chief Procurement Officer and Competition Advocate shall be consulted prior to the Acquisition Directorate making their decision on the application of the AQO approach.

6.1.4 Upon endorsement by the Director of Acquisition, the AOE shall present the Acquisition Strategy to the Partnership Committee and request their approval in principle for the use of the AQO approach for the execution of the Partnership Committee's tasking to NSPA.

6.1.5 Where the Partnership Committee agrees upon the use of this approach, the AOE shall consult the Office of the Legal Advisor and the NSPO to assess whether the PA and/or the related Programme Directive (PD) need to be amended to accommodate the Project Group model necessary for the implementation of the AQO approach. If this is the case, the AOE shall prepare a draft revision of the PA and/or PD, in coordination with the Office of the Legal Advisor. The revised draft of the PA and/or PD shall be submitted to the ASB, through the Coordination Office, once approved by the Partnership Committee.

6.1.6 Throughout the AQO process, any substantive deviation from the Acquisition Strategy shall be recorded and justified in writing to the Director of Acquisition.

6.2 Preparation of the AQO

6.2.1 Upon approval of the Acquisition Strategy by the Partnership Committee, the AOE shall be responsible for the preparation of the AQO, under the oversight of the Director of Acquisition and the Procurement Division Chief for the Acquisition Directorate.

Preliminary Processes

6.2.2 Where possible, the AOE should make use of available tools and processes to amass a greater understanding of the current and anticipated future ability of industry to respond to the needs of the Partnership Member Nations. These processes should also assist the AOE in identifying the different concept and/or approaches to be presented by industry, as well as the robustness of the requirements and bid evaluation which shall ensure that only the strongest bids can become qualified.

6.2.3 For programmes warranting an AQO approach, prior use of a pre-concept and/or concept stage, in accordance with Reference D, is encouraged. The AOE may consider the use of processes such as Industry Days, Pre-Solicitation Conferences, or Requests for Information pursuant to paragraph 7.4 of OI 4200-01. Where such processes are anticipated, they should be planned and developed by the AOE and submitted to the Procurement Division Chief for the Acquisition Directorate for endorsement before implementation.

Programme Management Plan

6.2.4 The AOE shall prepare a Programme Management Plan, which shall further elaborate the processes and plans approved in the Acquisition Strategy and act as a central programmatic reference. Completion of the Programme Management Plan is required before an RFP can be produced.

6.2.5 The Programme Management Plan is an iterative document that may be subject to continuous developments and revisions. The AOE shall develop the Programme Management Plan in parallel with the Source Selection Plan, and ensure that there is coherency between the documents as well as adherence to the Acquisition Strategy.

6.3 Source Selection Plan

6.3.1 The Source Selection Plan is the main governance document that details the procurement strategy including the evaluation criteria, related to the AQO approach, and shall therefore implement and develop the provisions of the Acquisition Strategy to a high level of detail and specificity. The development of the Source Selection Plan is a Procurement led activity.

6.3.2 The Source Selection Plan shall provide for the maximum number of QOs anticipated at the end of the AQO procurement process. This number should be determined based on the assessment of the likely number of different approaches from industry, so that varying approaches have a chance to qualify, while not compromising the robustness or integrity of the requirement or impacting the competitive nature of the process. The number of QOs should normally not exceed five (5), with three (3) being the target.

6.3.3 The Source Selection Plan shall also clearly state whether, and under what conditions, vendors are able to submit more than one bid or to participate as a partner or sub-contractor in the bids submitted by other vendors. These conditions shall be designed to ensure that the process remains competitive and does not grant any bidder undue advantage.

6.3.4 The Source Selection Plan shall include the evaluation criteria related to the technical and commercial requirements for the Acquisition. The requirements included in the Source Selection Plan should be final, unless the Acquisition Strategy provides for a Competitive Dialogue procedure. The requirements should be tailored in their form and content to the nature of the AQO strategy; meaning that these requirements should ensure that more than one technical or conceptual approach to the requirement is potentially commercially viable.

6.3.5 The Source Selection Plan shall provide for the Best Value bid evaluation criteria and processes, as well as the qualification threshold(s) for application in the assessment of bids. Where applicable, the Source Selection Plan shall also provide for the methods and criteria to be used for any second level assessments/refinement of QOs.

6.3.5.1 The AOE must ensure that the bid assessment and evaluation process allow reasonable opportunities for different approaches to be qualified, without diluting or compromising the requirements of the Partnership Member Nations. The AOE is required to keep written record of the rationale for the choice of evaluation method, processes and scoring in the Source Selection Plan, to facilitate its review, pursuant to paragraph 6.3.6 below and by the Award Review and Debarment Board, if applicable.

6.3.5.2 The use of mandatory requirements is encouraged. Similarly, the AOE may provide for separate qualification thresholds for different parts of the bid (e.g. a qualification threshold for the technical evaluation in addition to an overall threshold). The thresholds and mandatory requirements shall be provided with the view of avoiding a number of QOs over the maximum provided in the Source Selection Plan, in light of any pre-solicitation information that may have been obtained by the AOE up to this point.

6.3.5.3 The AOE may also provide for a second-level evaluation process, to be applied regardless of outcome or in case the number of QOs exceed the intended maximum number. This second-level evaluation process may be based on an adaptation of the Best Value assessment¹, or on separate qualitative evaluation criteria². It may also take the form of a filter according to the type of solution proposed. This second-level evaluation process shall be described in detail, and the process should ensure that all assessments and evaluations that are performed are justified against the criteria and elements detailed in the Source Selection Plan. The process should be reasonable and transparent in order to allow for effective review. The possibility of a second-level evaluation process, its effects, and its top-level assessment criteria must be explained in the RFP. The provision of a second-level evaluation process, which can be applied where the number of QOs exceeds the intended maximum number, is encouraged.

6.3.6 The Source Selection Plan shall first be submitted to the Procurement Division Chief for the Acquisition Directorate for endorsement. It shall then be reviewed by the Chief Procurement Officer and Competition Advocate to ensure adherence to the rules and principles of NSPA procurement. Where a section contains insufficient detail on which to assess future compliance, the AOE shall add the required information and resubmit the Source Selection Plan. Where the Competition Advocate identifies substantive issues or compliance risks, they shall first be raised with the AOE who shall have an opportunity to perform corrections. Should these issues or risks remain after review, they shall raise the issues to the Procurement Division Chief for the Acquisition Directorate and the Director of Acquisition. Following completion of the review process, the Source Selection Plan shall be presented to the Director of Acquisition for consultation and approved at the appropriate level within the procurement function in accordance with OI 4200-01 and OP-P-03.

¹ E.g.: by either: raising the general or specific thresholds, making optional requirements mandatory, raising or altering threshold requirements etc.

² Including but not limited to: the maturity of the concept offered, risks, the quality of evidence produced in the bid, or qualitative assessments of future performance of the proposed platform.

6.4 Initiation of the Procurement Action

6.4.1 The AOE shall undertake the procurement process in accordance with the Acquisition Strategy and the Source Selection Plan, using the methods and regulations already provided for under NSPO Regulation No. 4200 and implementing OIs. In the event that the application of an AQO, in accordance with this OI, requires deviation from, or the adaptation of, any Procurement OI, the deviation shall be referred to the Procurement Division Chief for the Acquisition Directorate, after consultation with the Office of the Legal Advisor. Any deviation shall be submitted, in accordance with OI 4200-01, in writing to the Chief Procurement Officer. Where a deviation to NSPO Regulation No. 4200 is required, the AOE shall submit the matter to the Partnership Committee, which may request ASB approval of such deviation under the terms of the SPA.

6.4.2 The Source Selection Plan must be approved, in accordance with OI 4200-01, prior to release of a RFP. The RFP shall include all information necessary to fully inform bidders of the nature of the procurement process under the AQO approach. The RFP documentation should include a link to the NSPA website to inform vendors where this OI is published. The RFP shall specifically inform prospective bidders that:

6.4.2.1 participation in the AQO process shall not confer any entitlement to contract award or reimbursement of costs;

6.4.2.2 each bidder shall bear its own costs associated with participation, including proposal preparation, concept development, and any preliminary activities, unless expressly provided otherwise in the solicitation documents;

6.4.2.3 intellectual property rights in concepts, designs, and solutions, submitted during the AQO process, shall remain with the bidder, unless otherwise provided in the solicitation documents;

6.4.2.4 the bidder remains liable for the safety and compliance of any materials, prototypes, or services provided during the AQO process, and;

6.4.2.5 initial and subsequent contracts offered to Qualified Vendors may be Single-Source follow-on contracts pursuant to paragraph 4.8.2.7 of NSPO Regulation No. 4200, as provided for in paragraph 6.6.5 below.

6.4.3 The RFP may be preceded by a pre-qualification phase to determine the eligibility of potential vendors. In which case, this should be included in the Acquisition Strategy of the Programme and should contain a specific Source Selection Plan. In accordance with section 9 of OI 4200-02, the pre-qualification phase may be undertaken before the final approval of the RFP. In such a case, the pre-qualification phase strategy and questionnaires shall be subject to the same review process as that of the Source Selection Plan, as provided in paragraph 6.3 above. The RFP and documentation relating to the pre-qualification phase, if applicable, must include information to draw bidders attention to the right to submit a claim for unduly restricting competition, in accordance with OI 4200-01.

6.4.4 The draft RFP shall be submitted using the same process for review and approval of the Source Selection Plan, as provided in paragraph 6.3 above.

6.5 Conclusion of the Procurement Action

6.5.1 At the closure of the RFP period, the AOE shall evaluate the bids received in accordance with the specified technical and commercial requirements provided in the Source Selection Plan. The evaluation shall be performed in alignment with the principles and approach of the Best Value evaluation process provided in paragraph 8.1.3 of OI 4200-01.

6.5.2 Where the Source Selection Plan provides for a second-level evaluation, the second-level evaluation shall be performed in accordance with the process and criteria provided. The bids selected following the second-level evaluation shall be classified as QOs. Bids that were qualified following the Best Value evaluation, but were not selected during the second-level evaluation shall be classified as 'Qualified with Reserve'.

6.5.3 Following the identification of the QOs, the AOE shall notify all bidders in writing and in accordance with paragraph 10.11 of OI 4200-01. In deviation to that paragraph, no information concerning the QOs shall be provided; information on the applicable thresholds shall be provided instead. The unsuccessful bidders, as well as those whose bids were Qualified with Reserve, shall be informed of their right to raise a pre-award complaint in accordance with OI 4200-08, the Pre-Contract Award Complaints Procedure.

6.5.3.1 Announcement to the Partnership Committee of the QOs shall be suspended for a minimum of 10 calendar days from the date of last notification to bidders. Where one or more complaint is filed, the suspension shall be maintained until the complaint has been resolved in accordance with OI 4200-08 and section 7 below.

6.5.3.2 No information concerning the bids or allowing identification of the QOs shall be provided to the Partnership Committee before the end of the stand-still period provided in this section, specifically paragraph 6.5.3.1.

6.6 Outcome of the AQO approach

6.6.1 The AOE shall present the QOs to the Partnership Committee to inform the Partnership Member Nations of the length of the validity of the QO offers. The Partnership Committee shall then establish Project Groups to pursue the development and/or production of any, or all, of the QOs. The Project Groups shall be established initially under the same mutual terms. The Partnership Committee may agree to set an automatic dissolution clause for Project Groups which remain without participants for a set period of time.

6.6.2 Where permissible under applicable legal, regulatory, and contractual obligations, NSPA may share bid documentation with the Partnership Member Nations in order to enable respective national staffing processes. The sharing of bid documentation shall only take place after the completion of any dispute procedure and selection of the QOs. The RFP must state that the AOE shall share the bid documentation with Partnership Member Nations. The AOE is responsible for ensuring that the bid documentation contains the appropriate protective markings. The AOE may share bid documentation with other Nations, with the approval of the Partnership Committee.

6.6.3 The AOE shall also inform the Partnership Committee of any bids Qualified with Reserve. The Partnership Committee may request additional information and/or documentation on the nature of these bids, and the reasons for their non-selection as QO in the second-level evaluation. The Partnership Committee shall not establish Project Groups to pursue options that are Qualified with Reserve, unless it decides otherwise by consensus. Nevertheless, these options should not be rejected before their expiration date, in case any QOs prove not to be viable or encounters significant difficulties.

6.6.4 The Partnership Member Nations may choose to join one or more QO Project Groups. Participation in, and departure from, Project Groups shall be subject to the modalities agreed by the Partnership Committee in the Project Group Terms of Reference. The decision to participate in a Project Group is a sovereign programmatic decision of Partnership Member Nations and does not form part of the procurement process.

6.6.5 Where the QOs result in a successful prototype (whether conceptual, virtual, technical or physical), developed following a competitive bidding process, the terms of paragraph 4.8.2.7 of NSPO Regulation No. 4200 "Follow-on Production Contract" may be applicable. If specified from the outset and as part of the RFP, follow-on contracts of the weapon system may be awarded on a single-source basis. Decisions pursuant of this paragraph shall be subject to determination by the Competition Advocate in accordance with OI 4200-06.

6.6.6 Where provided for in the Source Selection Plan and clearly indicated in the RFP, follow-on contracts may include de-risking activities. The vendors of QOs, pursued through a Project Group, may be tasked with assessing reasonable options to standardise parts, software and standards to foster greater commonality and compatibility within the Alliance.

7. DISPUTES

7.1 The provisions of OI 4200-01 and OI 4200-08 shall apply with the adaptations detailed in this section 7. Where a bidder submits a pre-award complaint for requirements unduly limiting competition, pursuant to OI 4200-08, a complainant alleging restriction of competition shall demonstrate that the requirement unduly limits competition without reasonable justification.

7.2 For the purposes of AQO processes, reviews against determination of technical or commercial non-compliance, provided at paragraph 5.3.2 of OI 4200-08, also include reviews of second-level assessments upon the request of bidders whose option was Qualified with Reserve.

7.2.1 Where a bidder, eliminated in the Best Value evaluation, succeeds in demonstrating that their offer met all applicable mandatory requirements and qualification thresholds, the AOE shall classify the bid as a QO or proceed to a second-level evaluation of the bid, if appropriate. Where this second-level evaluation leads to one or several other bids being reassessed as Qualified with Reserve, the AOE shall notify the bidders in accordance with paragraph 6.5.3 above.

7.2.2 Where a bidder whose option was Qualified with Reserve succeeds in demonstrating that the second-level evaluation of their bid was erroneous and unreasonable, the AOE shall perform the second-level evaluation of this bidder's bid anew. The AOE shall also assess whether the error affected the second-level evaluation of other bids, in which case it shall perform the second-level evaluation of all affected bids anew. Where this second-level evaluation leads to one or several other bids being reassessed as Qualified with Reserve, the AOE shall notify the bidders in accordance with paragraph 6.5.3 above.

Stacy A
CUMMINGS

 Digitally signed by Stacy
A CUMMINGS
Date: 2026.06.19
14:59:04 +02'00'

Stacy A. CUMMINGS
General Manager

